RAKBANK

Escalation & Resolution Framework for ‘Not Accepted’ Findings

Strengthening Governance, Transparency, and Accountability in Audit Reporting.

GROUP INTERNAL AUDIT

DATE
XX March 2026

REFERENCE
BAC Action #2

Purpose and Strategic Context

Responding to Board Audit Committee Mandate (BAC Action #2)

The BAC Directive

At the 11 December 2025 meeting, the Board Audit Committee (BAC) identified a need to formalize the resolution process for "Not Accepted" audit findings that remain unresolved after report issuance.

BAC Action #2 | Meeting 5 FY2025

Critical Governance Gap

"While existing policies mandate initial escalations, they do not define how final decisions are made when fundamental disagreements persist."

Strengthen Governance

Ensures unresolved, high-impact findings are escalated through defined management risk forums (MRC/MCRC).

Clear Accountability

Defines decision ownership for remediation and risk acceptance within Management business lines.

Board Visibility

Provides transparent reporting to the BAC on the status and resolution of material audit disagreements.

Preserve Independence

Upholds GIA's role as an independent assurance function while respecting management's risk ownership.

Existing Policy Framework and Identified Gaps

GIA Manual Provisions (30 Sept 2025)

Section 11.4.6 Mandates escalation to the **Group Chief Audit Officer (GCAO)** when agreement cannot be reached. GIA commentary must be included in the final audit report.

Section 11.4.7 Requires further escalation if Management does not accept a finding or accepts risk beyond appetite, communicating to the **BAC or relevant management forum**.

Ensures transparency and early-stage visibility of disagreements.

Identified Governance Gap

Lack of Finality & Decision Ownership

- Does not prescribe how **final decisions** are made once a fundamental disagreement persists post-issuance.
- Ambiguity in **accountability** for High and Very High-risk findings where Management refuses to act.
- Potential compromise of **governance integrity** if unresolved positions remain open indefinitely.

"The framework must move from 'reporting the disagreement' to 'mandating a resolution'."

Defining Fundamental Disagreement

Clear thresholds for triggering the formal escalation pathway for High & Very High-risk findings.

Factual Accuracy

Management disputes the factual accuracy of the audit finding or the evidence-based rationale for the required action plan.

Control & Severity

Management challenges the existence of a control weakness or the severity of the assigned risk rating.

Remediation Efficacy

Management proposes a remediation plan that is materially inadequate inadequate to mitigate the identified risk to an acceptable level.

Risk Acceptance

Management seeks to accept risk that falls outside the Bank's approved risk appetite or established limits.

*This threshold distinguishes **material governance disagreements** from minor operational differences, ensuring consistent application of formal intervention.*

Governance Rationale and Scope

Clarifying Ownership and Thresholds for Escalation

Decision Ownership

Management Responsibility

Decisions on remediation strategies or risk acceptance appropriately sit with management, not within audit follow-up mechanisms.

Enterprise Risk Governance

Unresolved matters are addressed through established forums (MRC/MCRC) rather than remaining stagnant at the engagement level.

GIA Independent Role

GIA provides independent assessment and challenge but does not "own" the risk or the remediation outcome.

> *"This approach does not alter audit conclusions or ratings; it ensures a consistent, decision-oriented pathway for resolution."*

Scope & Applicability

IN SCOPE

High & Very High Risk

Exclusively applies to findings with significant impact, ensuring focus on materiality and proportionality in line with BAC intent.

STANDARD PROCESS

Medium & Low Risk

Managed through standard audit follow-up and monitoring processes. These remain outside the formal escalation framework.

Tiered Escalation Pathway

Stage 1: Engagement Level & Stage 2: GCAO Engagement

STAGE 01

Engagement-Level Resolution

TRIGGER

Management responds "Not Accepted" to a High/Very High-risk High-risk finding.

FORUM & PROCESS

Direct discussions between the **Audit Manager** and **Action Owner** during the draft report phase.

OUTCOME

Agreement reached on remediation or **confirmation of deadlock** requiring escalation.

STAGE 02

GCAO Engagement

TRIGGER

Deadlock persists following Stage 1 engagement.

FORUM & PROCESS

The **Group Chief Audit Officer (GCAO)** engages the relevant **Business/Function Head**.

Action: *Finding is issued in final report with GIA commentary and remediation timeline aligned to the next MRC/MCRC.*

OUTCOME

Resolution achieved or **formal confirmation of fundamental disagreement**.

Tiered Escalation Pathway

Stage 3 & Stage 4: Senior Management and Committee Resolution

STAGE 03

Executive Management Review

Trigger

Fundamental disagreement remains unresolved after GCAO engagement (Stage 2).

Forum & Process

GIA formally escalates to the **Group CEO**. The GCEO consults relevant **GMC** relevant **GMC members** to determine a management position.

Outcome

Resolution achieved or confirmation that the matter requires formal committee governance (Stage 4).

STAGE 04

Management Committee Decision

Trigger

Disagreement remains unresolved following Executive Management review.

Forum & Process

GIA submits a concise **Audit Risk Resolution Brief** to the **MRC** or **MCRC** (for compliance matters).

Final Decision Authority

MRC/MCRC determines **mandated remediation** (with timelines) or **formal risk acceptance** (with conditions).

The MRC/MCRC acts as the decision forum and does not re-litigate audit findings or conclusions.

THE AUDIT RISK RESOLUTION BRIEF

Stage 4 Formal Escalation Decision Paper

Core Objectives

Swift Resolution
Designed to facilitate immediate and informed decisions for material risks.

Balanced View
Articulates both GIA and Management positions transparently.

No Re-litigation
Focuses on decision-making, not re-opening debate on audit findings.

1. Context

Audit area overview and why the matter reached Stage 4 escalation.

2. Risk Statement

What could go wrong, why it matters, and potential business impact.

3. GIA Position

Basis for High/Very High rating and concerns over non-acceptance.

4. Management Position

Rationale for non-acceptance and alternative controls relied upon.

5. Constraints

Regulatory factors, risk appetite limits, and timing considerations.

6. Decision Required

Clear call to action: Mandate remediation or approve formal risk acceptance.

RAKBANK

Management Committee Decision Authority

Final resolution forum for material audit disagreements

Final Decision Forum

The **Management Risk Committee (MRC)** and **MCRC** serve as the ultimate management authority for remediation decisions.

- Decisions based on strategic risk appetite
- Outcomes formally documented in TeamMate
- Decision binding on all business units

MANDATED DECISION OUTCOMES

Determined Remediation

01

Mandating specific remediation actions with binding closure timelines that must be adhered to by Management.

Formal Risk Acceptance

02

Approving risk acceptance under defined conditions and controls, with subsequent reporting to the BAC.

The Committee will not re-litigate original audit findings or GIA's independent conclusions.

Oversight, Reporting, and BAC Visibility

GOVERNANCE AND SYSTEM INTEGRATION

BAC Oversight & Visibility

- **Regular Status Updates:** Continuous reporting on escalated High & Very High-risk matters, including resolved and pending cases.
- **Decision Transparency:** Full visibility into MRC/MCRC deliberations and outcomes (remediation vs. risk acceptance).
- **Risk Appetite Check:** Enabling BAC to assess if management decisions align decisions align with strategic objectives and regulatory expectations. expectations.

System Integration (TeamMate)

- **End-to-End Traceability:** All escalation stages and final decisions are logged as part of the formal audit lifecycle.
- **Audit Action Tracking:** Capture of mandated remediation timelines and formal risk acceptance conditions.
- **Single Source of Truth:** Ensures accountability and facilitates seamless follow-up on implementation status.

Exceptional Independent Reporting

GIA reserves the right to escalate directly to the BAC in cases of significant governance failure, regulatory non-compliance, or risk appetite breaches.

GIA INDEPENDENCE

Appendix A: Audit Risk Resolution Brief

Standardized One-Page Decision Paper Template

AUDIT NAME / REF	DATE	FINDING REF	RISK RATING
[Insert Name]	[DD MMM YYYY]	[Ref ID]	HIGH / VERY HIGH

1. CONTEXT

Summary of audit area and rationale for escalation to MRC/MCRC...

2. RISK STATEMENT

What could go wrong? Why it matters? Impact if unresolved...

3. GIA POSITION

Nature of weakness, basis for rating, and concerns from non-acceptance...

4. MANAGEMENT POSITION

Rationale for non-acceptance, mitigating factors, and alternative controls...

5. CONSTRAINTS & CONSIDERATIONS

Regulatory constraints, risk appetite implications, dependencies...

6. DECISION REQUIRED

- [ ] Mandate remediation by [date]
- [ ] Approve formal risk acceptance until [date] subject to conditions

7. REFERENCES

Extracts from the issued audit report and GIA commentary (for context only).